Contents

AMIS

MARKET MONITOR

No. 57 – April 2018

Roundup

Despite poor soybean production in Argentina and risks to trade flows arising from potential disputes between China and the United States, a bumper crop in Brazil is set to contribute to an overall comfortable soybean supply situation for several months. With the focus gradually shifting towards the new season, early indications point to somewhat lower wheat and maize output. Still, record-high carryover stocks from the current season and another increase in rice production are likely to keep global supplies of wheat, maize and rice adequate in 2018/19.

Markets at a glance

	From previous forecast	From previous season
Wheat	▬	▼
Maize	▼	▲
Rice	▲	▲
Soybeans	▼	▼

▲ Easing ▬ Neutral ▼ Tightening

The **Market Monitor** is a product of the Agricultural Market Information System (AMIS). It covers international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by the eleven international organizations and entities that form the AMIS Secretariat.
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World supply-demand outlook

- **Wheat** production in 2017 revised up slightly; now just marginally (0.3 percent) below the 2016 record.
- Utilization in 2017/18 raised further mainly reflecting higher-than-earlier projected industrial use in the EU and feed use in the Russian Federation.
- Trade in 2017/18 (July/June) almost unchanged from last month with significant upward adjustment to exports from the Russian Federation nearly offsetting lower anticipated shipments from other exporters, in particular from the EU.
- Stocks (ending in 2018) slightly down from the previous forecast but still at an all-time high.

in million tonnes

WHEAT	FAO-AMIS 2016/17 est.	FAO-AMIS 2017/18 f'cast 1-Mar	FAO-AMIS 2017/18 f'cast 5-Apr	USDA 2016/17 est.	USDA 2017/18 f'cast 8-Mar	IGC 2016/17 est.	IGC 2017/18 f'cast 22-Mar
Production	759.6	757.0	757.4	750.5	758.8	754.1	757.7
Supply	990.0	1,006.7	1,009.4	992.0	1,011.4	978.3	998.1
Utilization	733.9	733.6	736.4	739.4	742.5	737.8	741.7
Trade	176.6	173.5	173.8	183.3	182.0	175.7	173.8
Stocks	252.0	272.7	272.0	252.6	268.9	240.4	256.4

- **Maize** production in 2017 raised further since last month, mostly on a significant upward revision in the EU.
- Utilization in 2017/18 increased, taking into account higher feed use, particularly in the EU and South America.
- Trade in 2017/18 (July/June) even more robust than projected earlier on stronger import prospects for the EU, Turkey and several Asian countries.
- Stocks (ending in 2018) adjusted downwards but still at a record; the revision mostly reflects higher drawdowns in the Republic of Korea and the US.

in million tonnes

MAIZE	FAO-AMIS 2016/17 est.	FAO-AMIS 2017/18 f'cast 1-Mar	FAO-AMIS 2017/18 f'cast 5-Apr	USDA 2016/17 est	USDA 2017/18 f'cast 8-Mar	IGC 2016/17 est.	IGC 2017/18 f'cast 22-Mar
Production	1,046.4	1,084.4	1,087.0	1,075.2	1,041.7	1,087.7	1,044.8
Supply	1,283.0	1,327.3	1,328.0	1,290.2	1,273.6	1,382.5	1,381.6
Utilization	1,039.7	1,069.3	1,072.2	1,058.4	1,074.4	1,045.7	1,074.0
Trade	139.9	144.4	145.5	159.8	155.9	138.0	148.6
Stocks	241.0	252.9	247.2	231.9	199.2	336.8	307.6

- **Rice** production upgraded, as improved prospects for India more than outweigh cuts mainly for Indonesia and Tanzania.
- Utilization in 2017/18 trimmed, but still pointing to a 1.1 percent food-driven expansion.
- Trade in 2018 raised somewhat, mostly reflecting higher than previously anticipated imports by Bangladesh and Indonesia.
- Stocks (ending in 2018) now put 1.4 percent above their opening levels, but aggregate stocks in the major exporters still seen contracting.

in million tonnes

RICE *(milled)*	FAO-AMIS 2016/17 est.	FAO-AMIS 2017/18 f'cast 1-Mar	FAO-AMIS 2017/18 f'cast 5-Apr	USDA 2016/17 est.	USDA 2017/18 f'cast 8-Mar	IGC 2016/17 est.	IGC 2017/18 f'cast 22-Mar
Production	500.2	502.2	503.2	486.2	486.3	486.8	486.2
Supply	667.6	670.8	672.1	623.9	623.6	610.6	609.3
Utilization	497.5	503.6	503.0	481.6	480.5	487.6	487.2
Trade	47.9	46.0	46.9	46.8	47.3	46.0	45.9
Stocks	168.9	170.4	171.3	137.3	143.1	123.0	122.1

- **Soybean** 2017/18 production forecast lowered significantly, mostly reflecting a sharp downward revision for Argentina.
- Utilization in 2017/18 slightly down compared to last month, shaped by lower crushing forecasts for several countries, notably Argentina and Brazil.
- Trade forecast for 2017/18 broadly unchanged, with higher exports by Brazil expected to compensate for lower shipments from Argentina and Uruguay.
- Stocks forecast (2017/18 carry-out) down sharply m/m and now pointing to a four-year low. Compared to last month, sharp downward revisions for Argentina and Brazil are only partially compensated by moderate upward adjustments in the US.

in million tonnes

SOYBEANS	FAO-AMIS 2016/17 est.	FAO-AMIS 2017/18 f'cast 1-Mar	FAO-AMIS 2017/18 f'cast 5-Apr	USDA 2016/17 est.	USDA 2017/18 f'cast 8-Mar	IGC 2016/17 est.	IGC 2017/18 f'cast 22-Mar
Production	348.8	345.2	336.8	351.3	340.9	349.9	341.5
Supply	393.1	396.9	388.2	429.6	437.5	382.6	388.8
Utilization	341.3	351.4	349.1	329.8	343.8	335.5	346.7
Trade	149.2	153.2	154.0	147.5	150.6	147.3	152.7
Stocks	51.4	47.3	42.0	96.7	94.4	47.3	42.3

FAO-AMIS monthly forecast

To review and compare data, by country and commodity, across the three main sources, go to:
http://statistics.amis-outlook.org/data/index.html#COMPARE

Estimates and forecasts may differ across sources for many reasons, including different methodologies. ***For more information see Explanatory notes on the last page of this report.***

Summary of revisions to FAO-AMIS monthly forecasts for 2017/18

in thousand tonnes

	WHEAT					MAIZE				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	***378***	***288***	***2778***	***292***	***-697***	***2580***	***1054***	***2872***	***1054***	***-5674***
Total AMIS	***60***	***-255***	***1957***	***242***	***-1297***	***2008***	***399***	***3259***	***1144***	***-6305***
Argentina	-	-	-400	800	300	-	-	516	150	-
Australia	-	25	-	-986	-	-	-	6	-6	-
Brazil	-	-600	-113	-2	-440	-	-	-882	1000	-
Canada	-	-200	-100	-200	100	-	-	150	-	-
China Mainland	-	-	-	-	-	-	-	-	-	-
Egypt	-	-	-	-	-	-	-100	-	-	-100
EU	-	200	1000	-2000	1000	2000	500	1500	-	1000
India	-	-	-	-	-	-	-	-	-	-
Indonesia	-	100	-	-	-	-	-	-	-	-
Japan	-	-	-	-	-	-	-	-	-	-32
Kazakhstan	-	-	-	-	-	-	-	-	-	-
Mexico	-	100	160	-	-400	-	-	500	-	-
Nigeria	-	-	-	-	-	-	-	-	-	-
Philippines	-	-	-	-	-	-	-	-	-	-
Rep. of Korea	-	10	110	-	-	-	-501	-	-	-1466
Russian Fed.	-	510	1700	3000	-2514	-	-	-	-	-
Saudi Arabia	-	-400	-400	-	-	-	-	-	-	-
South Africa	-	-	-	-	-	-	-	-	-	-
Thailand	-	-	-	-	-	-	-	-	-	-
Turkey	-	-	-	-	-28	-	500	200	-	-
Ukraine	60	-	-	-	4	8	-	-	-	8
US	-	-	-	-370	681	-	-	1269	-	-5715
Viet Nam	-	-	-	-	-	-	-	-	-	-

	RICE					SOYBEANS				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	***1021***	***914***	***-648***	***911***	***905***	***-8484***	***951***	***-2263***	***813***	***-5326***
Total AMIS	***1296***	***112***	***-569***	***764***	***365***	***-7760***	***1076***	***-2182***	***1530***	***-5280***
Argentina	-	2	30	20	-30	-8500	650	-1600	-2400	-4000
Australia	-	-	-	-	-	0	-	0	0	0
Brazil	-	-	-136	40	20	1441	-	-609	3160	-1450
Canada	-	-30	-50	-	-50	0	-	0	0	0
China Mainland	-	-	-20	-	-	0	-200	-300	100	-
Egypt	-	-	-	-	-	0	150	150	-	50
EU	-	-	-	-	-	-12	-	82	-	-
India	1551	-	-319	1000	850	-500	200	-150	-	-150
Indonesia	-207	350	90	-	-300	-157	-	-160	-	0
Japan	-4	-	-4	-	-	-	-	-	-	-
Kazakhstan	6	-10	-15	10	-35	32	-	32	-	-
Mexico	1	60	-29	13	50	-8	350	586	-	-347
Nigeria	-	-	-10	-	10	-100	-	-100	-	-
Philippines	-52	-100	-102	-	-200	-	-	-	-	-
Rep. of Korea	-	-	-	32	-	-	-	10	-	20
Russian Fed.	-	-	-	-	-	44	0	-156	200	0
Saudi Arabia	-	-200	-79	-	-	-	-	-	-	-
South Africa	-	40	25	-	50	-	-	-	-	-
Thailand	-	-	20	-350	-	-	-	-	-	-
Turkey	-	-	-	-1	-	-	0	0	-	0
Ukraine	-	-	-	-	-	-	-	-166	170	-70
US	-	-	-	-	-	0	-	270	300	680
Viet Nam	-	-	29	-	-	0	-74	-71	-	-13

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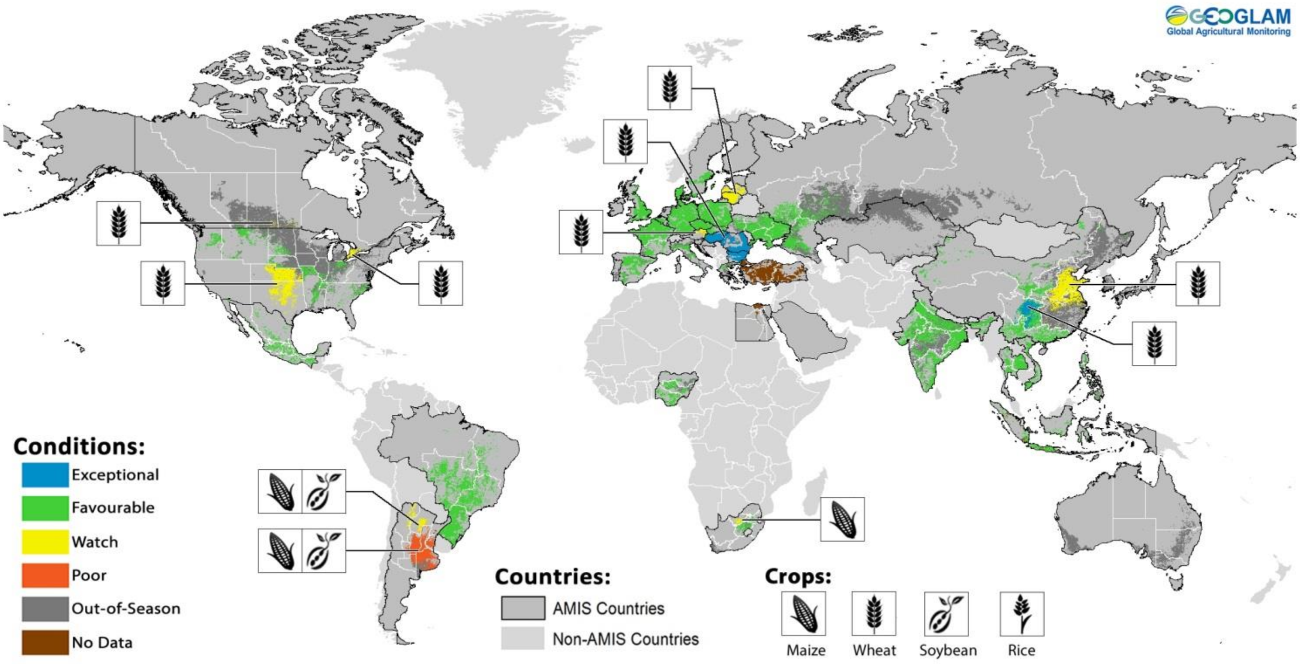
Numbers shown refer to changes in forecasts (in thousand tonnes) since the previous report.

Crop monitor

Crop conditions in AMIS countries (as of 28 March)



Crop condition map synthesizing information for all four AMIS crops as of 28 March. Crop conditions over the main growing areas for wheat, maize, rice, and soybean are based on a combination of national and regional crop analyst inputs along with earth observation data. ***Only crops that are in other-than-favourable conditions are displayed on the map with their crop symbol.***

Conditions at a glance

Wheat - In the northern hemisphere, conditions are generally favourable as winter wheat continues to emerge from dormancy. Wheat in the EU escaped the recent cold spell without major damage. While low temperatures are affecting winter wheat in China, prolonged drought continues to affect the southern plains in the US.

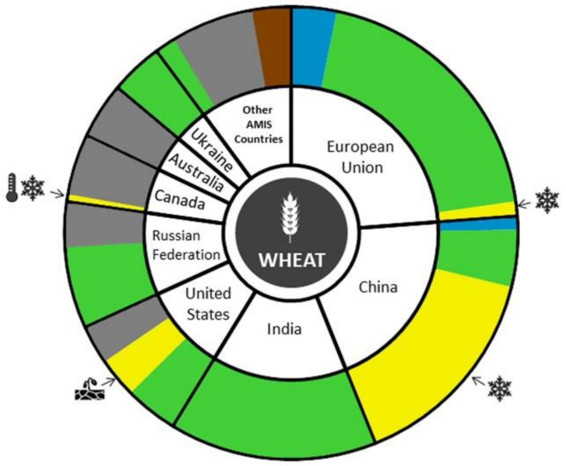
Maize - In the southern hemisphere, crop conditions are mixed, with the situation deteriorating in Argentina due to poor soil moisture, but good conditions in Brazil. In the northern hemisphere, sowing has begun in the US and China.

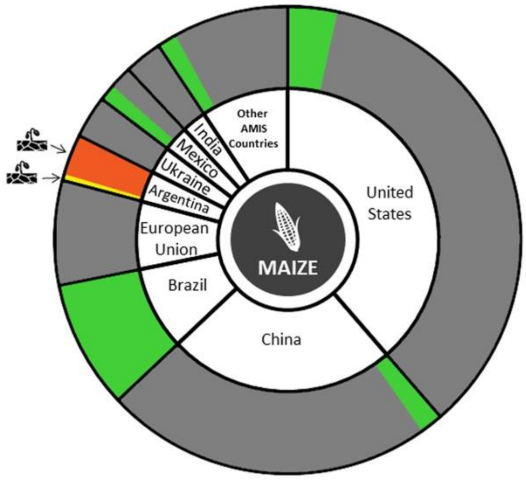
Rice – In India, the Rabi crop is favourable. Also, in China, early-rice sowing is under favourable conditions. In Southeast Asia, crop conditions remain favourable as dry-season rice advances in the northern countries. Wet-season rice is well underway in Indonesia.

Soybean - In the southern hemisphere, crop conditions are favourable in Brazil while conditions continue to deteriorate in Argentina due to dry weather.

La Niña update

A La Niña Advisory has been in effect since November 2017, though there is a 55 percent probability of transition to neutral conditions by the end of May. Associated with the event, drier than normal conditions have prevailed in southwest Asia, southeastern South America, eastern China, and the southern US. Atypically for a La Niña event, areas of Southern Africa experienced an extended dry spell in the heart of the season (from late December until the beginning of February). Though there were widespread abundant rains in February, dry conditions returned in March, except in South Africa, where crops have largely recovered from the dry spell. Production will be down in the other affected countries of Southern Africa. Northern South America is frequently wetter than normal with La Niña, but conditions in late 2017- early 2018 have been drier than average. In Central America, the Caribbean, and Southeast Asia, rainfall has generally been abundant and crop conditions are good.





Wheat

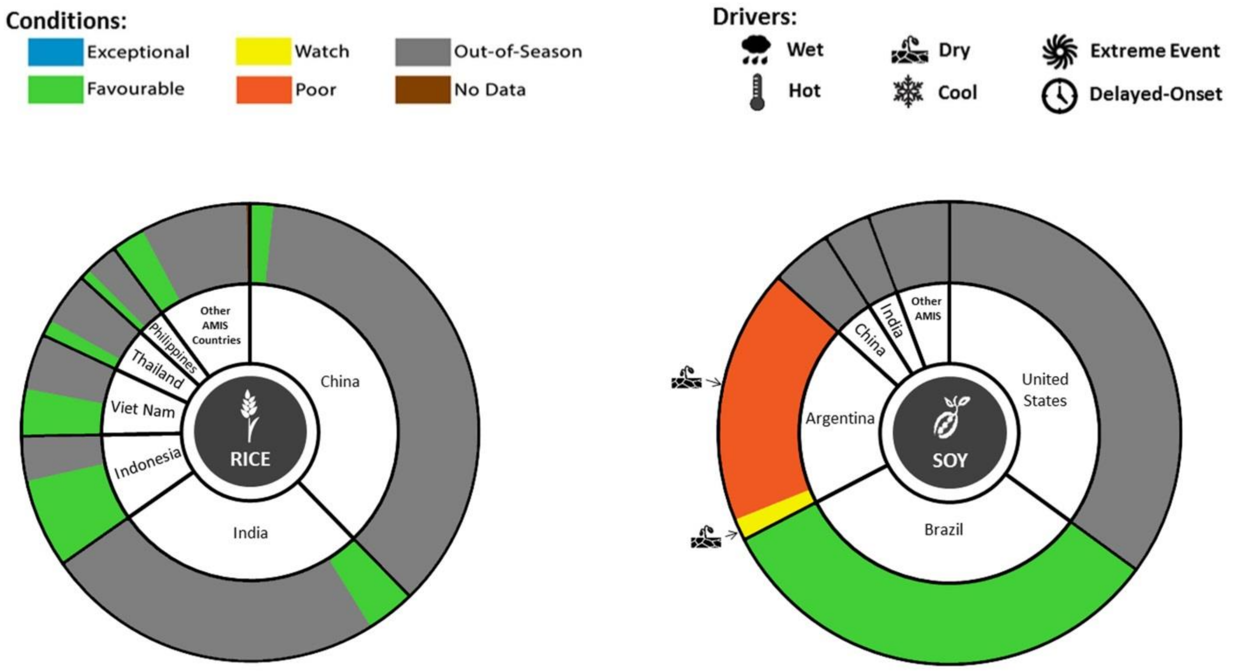
In the **EU**, conditions are favourable as frost damage remains limited despite the recent cold spell. In **Ukraine**, winter wheat conditions are favourable with the recent cold weather and snow causing a delay in the break of dormancy for the majority of the crop, while the crop has emerged from dormancy in the south. In the **Russian Federation**, conditions are favourable for winter wheat with the majority of the crop still in dormancy. However, areas in the south are clear of snow and the crop is developing ahead of schedule. In **China**, winter wheat conditions are mixed due to below-average temperatures in the east but above- average growing conditions in the southwest. Spring wheat sowing has begun. In **India**, conditions are favourable with the crop in maturity to harvesting stage. There is a slight reduction in sown area this year. In the **US**, prolonged drought in the main winter wheat growing region is becoming a serious concern as the crop has entered the critical period of its growing season. However, conditions remain under watch at this time given that precipitation can still facilitate some recovery. Across the rest of the US, winter wheat is under generally favourable conditions. In **Canada**, conditions are mixed as limited snow cover during much of the winter in the prairies, and extreme temperature variability in the main winter wheat producing province of Ontario, has increased the risk of winterkill.

Maize

In **Brazil**, conditions for the spring-planted crop are favourable as harvest begins, with yield estimates in line with the five year average but total sown area down from last year. The summer-planted crop (larger) is in the vegetative stage under favourable conditions. In **Argentina**, conditions have deteriorated to poor for both the early and late planted crops. Earlier sown plots show slightly better performance as harvest begins, however yields are variable in Buenos Aires. In **South Africa**, conditions remain mixed due to hot and dry weather in the western growing regions at the start of the season. Above-average rainfall improved conditions in the east, however concern still remains in the western growing regions. In the **US**, sowing has begun in the south under favourable conditions. In **China**, spring maize sowing has begun in the southwest under favourable conditions. In **Mexico**, sowing of the autumn-planted crop is almost complete under favourable conditions.

__Pie chart description:__ Each slice represents a country's share of total AMIS production (5-year average), with the main producing countries (90 percent of production) shown individually and the remaining 10 percent grouped into the "Other AMIS Countries" category. Sections within each country are weighted by the sub-national production statistics (5-year average) of the respective country and accounts for multiple cropping seasons (i.e. spring and winter wheat).

The late vegetative through to reproductive crop growth stages are generally the most sensitive periods for crop development.



Rice

In **China**, early rice sowing has begun in the south under favourable conditions. In **India**, conditions are favourable for the Rabi crop in the vegetative stage. In **Indonesia**, conditions are generally favourable as sowing of the wet-season rice wraps-up with total sown area lower than normal due to variable rainfall. Harvest of earlier sown wet-season rice continues with favourable yields. In **Viet Nam**, sowing of the winter-spring rice (dry season rice) was completed in the south under favourable conditions, and there is an increase in total sown area relative to last year. Sowing continues in the north with a slightly lower total sown area due to earlier cold weather delays. In **Thailand**, dry-season rice is in the grain filling stage under favourable conditions owing to sufficient rainfall and irrigation water at the beginning of the season. In the **Philippines**, conditions are generally favourable for dry-season rice which is mostly in the maturing to harvesting stages. High yielding variety seeds have offset impacts from the multiple storm systems earlier in the season.

Soybeans

In **Brazil**, there was an increase in total sown area this season. Conditions are favourable with the crop in the ripening to harvesting stages. Advanced harvests from the Central-West region confirm good production expectations. In **Argentina**, conditions continue to deteriorate due to poor soil moisture for both the spring-planted crop (larger) and the summer-planted crops. Prospects for the summer-planted crop are even less optimistic since the majority of the crop development occurred under the ongoing dry spell. Variable conditions exist in Buenos Aires.

Information on crop conditions in non-AMIS countries

can be found in the [GEOGLAM Early Warning Crop Monitor](), published 5 April 2018

Sources and Disclaimers: The Crop Monitor assessment is conducted by GEOGLAM with inputs from the following partners (in alphabetical order): Argentina (Buenos Aires Grains Exchange, INTA), Asia Rice Countries (AFSIS, ASEAN+3 & Asia RiCE), Australia (ABARES & CSIRO), Brazil (CONAB & INPE), Canada (AAFC), China (CAS), EU (EC JRC MARS), Indonesia (LAPAN & MOA), International (CIMMYT, FAO, IFPRI & IRRI), Japan (JAXA), Mexico (SIAP), Russian Federation (IKI), South Africa (ARC & GeoTerraImage & SANSA & CSIR), Thailand (GISTDA & OAE), Ukraine (NASU-NSAU & UHMC), USA (NASA, UMD, USGS – FEWS NET, USDA (FAS, NASS)), Viet Nam (VAST & VIMHE-MARD). The findings and conclusions in this joint multiagency report are consensual statements from the GEOGLAM experts, and do not necessarily reflect those of the individual agencies represented by these experts. More detailed information on the GEOGLAM crop assessments is available at www.geoglam-crop-monitor.org

Policy developments

Wheat

- On 1 March, the **US** notified the WTO of new or revised tolerance levels for quizalofop ethyl residues in wheat germ, milled by-products and wheat forage.

Maize

- On 6 March, **Argentina** approved the commercialization of two GM maize varieties from Syngenta and Dow Chemical through Resolutions No. 26/2018 and 28/2018.
- On 1 March, the **US** notified the WTO of the application of new tolerance levels for quizalofop ethyl residues in field maize forage, grain and stover.

Rice

- On 16 March, following a risk assessment jointly carried out by Health Canada and Food Standards Australia-New Zealand, **Canada** notified the International Rice Research Institute of its acceptance of Pro-vitamin A Bio-fortified Rice Event GR2E (Golden Rice).
- On 8 March, **Mexico** notified the WTO of its intention to introduce new phytosanitary requirements for polished rice (Oryza sativa) imports from Guyana. The final date of comments on the measure is 7 May 2018 (G/SPS/N/MEX/331).

Soybeans

- On 6 March, through Resolution No. 27/2018, **Argentina** approved the commercialization of one GM soybean variety from Bayer SA.
- On 8 March, **Brazil** approved two new GM soybean varieties for commercialization from Du Pont and Monsanto.

Biofuels

- On 1 March, **Brazil** increased its biodiesel blending mandate from 8 percent to 10 percent. Moreover, on 14 March, the Ministry of Mines and Energy of **Brazil** introduced new regulations related to the recently enacted national biofuel policy, *RenovaBio*. According to the decree, reduction targets for greenhouse gas emissions are to be defined by 15 July 2018 and will come into effect from 24 July 2018 to 31 December 2028.
- On 21 March, following a ruling by the European Court of Justice, the **EU** eliminated anti-dumping duties on biodiesel imports from 13 Argentinean and Indonesian suppliers.
- On 1 March, the **European Commission** approved a EUR 4.7 billion (USD 5.8 billion) support scheme for advanced biofuels in order to promote the use of renewable energy in Italy. The scheme will be implemented until 2022.
- To absorb crude palm oil surplus, the Department of Energy Business of **Thailand** plans to increase the use of methyl ester (derived from crude palm oil) in automotive equipment from 7 percent to 10 percent by early 2019.

Across the board

- On 16 March, the Ministry of Agriculture of **Brazil** announced support amounting to BRL 384 million (USD 115.9 million) in favour of the Rural Insurance Premium Grant Programme. Of this total amount, at least BRL 115 million (USD 34.7 million) will be granted to contract policies for safflower, maize, wheat and other winter grains; BRL 175 million (USD 52.8 million) for summer grains; and BRL 21 million (USD 6.3 million) for other crops.
- On 14 March, under the Growing Forward 2 programme, **Canada** announced a CAD 760 000 (USD 590 943) investment aimed at improving the certification of seed crops, assessing risks and opportunities facing the seed industry, and expanding global seed trade.
- On 19 March, **Republic of Korea** announced its intention to restart trade talks with the Mercosur trade bloc in the first half of 2018 after meeting the Brazilian president, with a key focus on the bloc's maize and soy exports to Republic of Korea.
- As part of the upcoming Farm Bill discussions, the **US** House Agriculture Committee introduced a bill entitled the *Grain Inspection Improvement Act* (H.R. 5070) that allows grain handlers to reinstate previously-revoked grain inspection exceptions. Another bill, the *Food for Peace Modernization Act* (H.R. 5276), aims to reform food assistance programmes in a manner that prevents disincentives to local production and minimises market disruptions in responding to emergency and non-emergency food needs. For example, there will be more flexibility to use cash, vouchers, or locally-purchased food; monetization would be eliminated.

Logistics/Infrastructure

- On 7 March, **Brazil** launched '*Macrologística*', a portal designed to facilitate agribusiness through data monitoring and dissemination on production areas, storage units, bottlenecks in value chains and investment opportunities to map out the optimum transport routes.

AMIS Policy database

Visit the AMIS Policy database at: http://statistics.amis-outlook.org/policy/

*The **AMIS Policy database** gathers information on trade measures and domestic measures related to the four AMIS crops (wheat, maize, rice, and soybeans) as well as biofuels. The design of this database allows comparisons across countries, across commodities and across policies for selected periods of time.*

International prices

International Grains Council (IGC) Grains and Oilseeds Index (GOI) and GOI sub-Indices

	Mar 2018 Average*	% Change M/M	Y/Y
GOI	208	+4.0%	+10.8%
Wheat	184	+2.7%	+12.5%
Maize	200	+8.6%	+15.5%
Rice	172	-0.3%	+14.7%
Soybeans	207	+5.0%	+8.0%

*Jan 2000=100, derived from daily export quotations

Wheat

World wheat export prices initially posted solid gains, mainly tied to prolonged dryness for 2018/19 crops in the US, with support too, from a spell of very cold weather in Europe and the CIS. Logistical constraints underpinned in some areas, including in the Black Sea region and the US. There was additional support from cold and wet weather that was reported to be hindering spring fieldwork in parts of the EU and CIS, while dryness was seen as a potential threat ahead of planting in Argentina and Australia. Price advances were partially eroded in late March on favourable crop rains in the US and heavy old crop world supplies. Overall, the IGC GOI wheat sub-Index rallied by 2.7 percent m/m.

Maize

With average world export values climbing to their highest levels since June 2016, the IGC GOI maize sub-Index surged by 8.6 percent in March, a fifth consecutive monthly increase. Amid generally robust export demand and deepening worries about crop prospects in parts of South America, strong gains were registered across all major origins. US FOB quotations rallied, but stayed competitive versus other feed grains, on solid overseas buying interest and internal logistical difficulties. Buoyant demand also contributed to substantial advances in Ukraine. Prices in Argentina were underpinned by recent weather woes, seen limiting the size of this season's surplus.

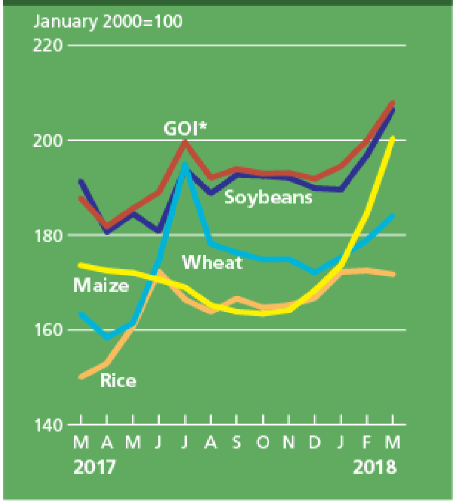
Rice

Against the backdrop of generally ample supplies and slower international demand, Asian rice export prices had a weaker tone in early March. However, markets staged a modest recovery in the second half of the month, led by Thailand, where renewed export demand and currency movements provided support. In Viet Nam, too, main (winter-spring) crop arrivals pressured, but this was countered by the solid underlying pace of shipments. Although white rice values in India were mostly steady amid few fresh developments, quotations in Pakistan moved significantly higher on strong buying interest from importers in Africa and Near East Asia ahead of Ramadan. Overall, the IGC GOI rice sub-Index was fractionally weaker m/m.

Soybeans

Average soybean export values moved higher, the IGC GOI sub-Index up by 5 percent, its second successive monthly increase. Markets were underpinned by deepening worries about the impact of prolonged hot, dry weather in Argentina, with a number of private analysts downgrading forecasts for the 2017/18 crop. Associated strength in soy meal prices, together with initial signs of an uptick in demand for US supplies, added support. However, markets were mildly pressured by outlooks for a bumper outturn in Brazil, harvesting of which was about two-thirds complete, coupled with background worries about future trade between the US and China. Furthermore, talk that US acreage could expand to a new record in 2018/19 also capped gains.

IGC Commodity Price Indices



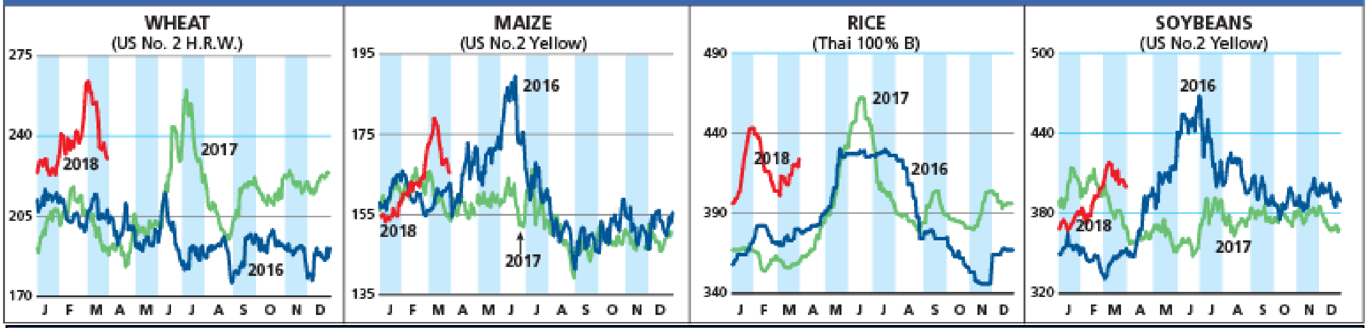
*GOI: Grains and Oilseeds Index

IGC commodity price indices

		GOI*	Wheat	Maize	Rice	Soybeans
		(January 2000 = 100)				
2017	March	**187.8**	163.3	173.6	150.0	191.4
	April	**181.8**	158.4	172.5	152.9	180.6
	May	**185.6**	161.4	172.0	160.7	184.5
	June	**189.0**	174.6	170.6	172.3	180.8
	July	**199.6**	194.9	169.0	166.4	194.0
	August	**192.1**	178.1	165.2	163.8	188.8
	September	**193.9**	176.3	163.8	166.6	192.7
	October	**193.0**	174.8	163.4	164.7	192.5
	November	**193.1**	174.9	164.1	165.2	192.1
	December	**191.9**	172.1	168.3	166.7	189.9
2018	January	**194.5**	175.3	173.6	172.2	189.6
	February	**199.9**	178.9	184.5	172.5	196.8
	March	**208.0**	184.1	200.5	171.7	206.5

Selected export prices, currencies and indices

Daily quotations of selected export prices (USD/tonne, 2016-2018)



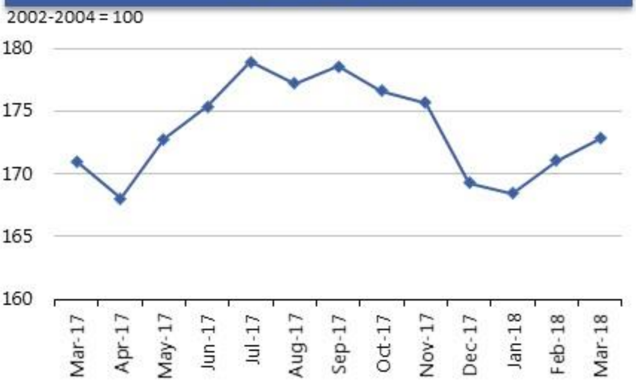
Daily quotations of selected export prices

	Effective Date	Quotation (1)	Week ago (2)	Month ago (3)	Year ago (4)	% change (1) over (2)	% change (1) over (4)
	(	....	USD/tonne	....	)		
Wheat (US No. 2, HRW)	28-Mar	230	234	255	191	-1.7%	20.4%
Maize (US No. 2, Yellow)	28-Mar	166	168	172	155	-1.5%	6.6%
Rice (Thai 100% B)	28-Mar	424	420	404	359	1.0%	18.1%
Soybeans (US No.2, Yellow)	28-Mar	400	404	407	369	-1.0%	8.4%

AMIS Countries' Currencies Against US Dollar

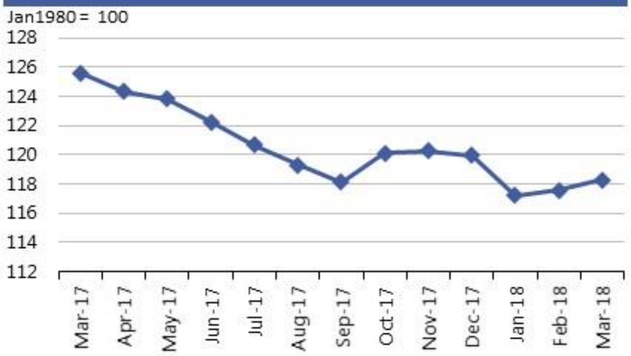
AMIS Countries	Currency	March 2018 Average	Monthly Change	Annual Change
Argentina	ARS	20.2	-1.9%	-30.3%
Australia	AUD	1.3	-1.4%	1.7%
Brazil	BRL	3.3	-0.9%	-4.9%
Canada	CAD	1.3	-2.7%	3.4%
China	CNY	6.3	0.0%	8.4%
Egypt	EGP	17.6	0.3%	0.2%
EU	EUR	0.8	-0.1%	13.4%
India	INR	65.0	-1.0%	1.2%
Indonesia	IDR	13,756.3	-1.2%	-3.1%
Japan	JPY	106.1	1.6%	6.0%
Kazakhstan	KZT	320.7	0.4%	-1.5%
Rep. Korea	KRW	1,070.1	0.8%	5.5%
Mexico	MXN	18.6	0.4%	3.6%
Nigeria	NGN	307.5	-0.4%	-0.7%
Philippines	PHP	52.1	-0.4%	-3.7%
Russian Fed.	RUB	57.1	-0.5%	1.2%
Saudi Arabia	SAR	3.8	0.0%	0.0%
South Africa	ZAR	11.8	-0.1%	8.6%
Thailand	THB	31.3	0.7%	10.3%
Turkey	TRY	3.9	-2.8%	-6.0%
UK	GBP	0.7	0.1%	11.7%
Ukraine	UAH	26.3	3.0%	2.6%
Viet Nam	VND	22,776.8	-0.3%	0.0%

FAO Food Price Index
Mar2017-Mar2018



Source: FAO

Nominal Broad Dollar Index
Mar2017-Mar2018



Source: US Federal Reserve

Futures markets

Futures Prices – nearby

	March-18 Average	% Change M/M	% Change Y/Y
Wheat	176	+4.2%	+11.1%
Maize	149	+3.8%	+4.6%
Rice	271	+0.7%	+27.6%
Soybeans	382	+2.9%	+4.3%

Source: CME

Historical Volatility – 30 Days, nearby

	Monthly Averages Mar-18	Monthly Averages Feb-18	Monthly Averages Mar-17
Wheat	30.7	22.6	26.1
Maize	11.1	10.1	17.8
Rice	17.2	18.0	12.7
Soybeans	13.8	12.8	15.1

Futures Prices

Prices for wheat, maize and soybeans posted gains for the second successive month, increasing m/m by 4.2, 3.8 and 2.9 percent respectively, even though values trended lower after the first week of the month. Poor US winter wheat crop ratings together with suboptimal sowing conditions in the northern spring wheat belt lifted wheat prices at one point to a seven month high. A prolonged drought in Argentina's growing regions tended to support maize and soybean values as analysts cut the country's maize and soybean crops by several million tonnes. On the trade front, uncertainty surrounding potential tariff and quota measures appeared to dissipate as China's official policy on US soybean imports remained unaffected, at least in the near term.* Market watchers instead shifted their focus to US planting weather, which was forecast to be rainy with mixtures of snow through the middle of April. In exogenous markets, a continued weak USD and firm crude oil and gold prices, lent support to agricultural markets. The USDA planting intentions and quarterly stocks report published at month end surprised analysts by projecting lower maize and soybean acres and higher wheat acres than trade estimates, causing prices for maize and soybeans to advance between 2 and 3 percent. On a y/y basis, wheat, maize and soybeans were all higher at 11.1, 4.6, and 4.3 percent, respectively. Rice prices were steady m/m and remained higher y/y by 27.6.

Volumes and volatility

Trade volumes for all three commodities declined m/m by 24 to 32 percent, despite buoyant prices which normally signify rising transaction levels. However, volumes were about 50 percent higher y/y. Historical volatility and implied volatility were somewhat higher for all three commodities m/m. Compared to a year ago maize and soybeans declined and wheat rose in both volatility measures.

Basis levels and transport

Domestic basis levels for maize and soybeans declined m/m as early month rises in futures prices encouraged producer marketing prior to planting season. In Illinois, the interior bids to local elevators dropped between 4 USD and 5 USD (per tonne) and were quoted minus USD 13 for maize and minus USD 17 for soybeans, both under the respective May futures prices. In Iowa, the bids were similarly weak at minus USD 18 for maize and minus USD 31 for soybeans (under the respective May futures). Gulf export delivery basis levels were also lower for the two commodities, with maize - quoted at USD 17 and soybeans at USD 12 per tonne. Conversely, domestic soft red wheat values were steady while delivered gulf prices were higher at around USD 27 per tonne over the May futures. Barge freight soared to USD 29 in the second week of March as flooding disrupted traffic during the spring season opening for upper Mississippi traffic. Barge freight since the end of 2017 has sustained a level above the three year average freight rate (lower Illinois River quotations). The export market showed signs of a pick-up from US, with maize and soybean export commitments (unshipped balances), surpassing last year's levels for the same time period, although cumulative shipments lagged. In wheat, both cumulative and unshipped exports continued to lose ground to other origin sales and in fact, US has shifted to second place after the Russian Federation as the world's largest wheat supplier.

Forward curves

Forward curves for wheat and maize barely changed m/m even as prices moved to multi-month highs. Soybean curves, which exhibited a dramatic inversion in the old crop/new crop soybean spread (July 2018 minus November 2018) from 'even' (i.e. both contract months reflecting the same price) to USD 16 during February, dropped back to USD 4 by end month. Traders weighed the losses in Argentina against a bumper crop in Brazil, where large Chinese buying as evidenced by record high soybean export premiums, might be displacing US origin exports.

Investment flows

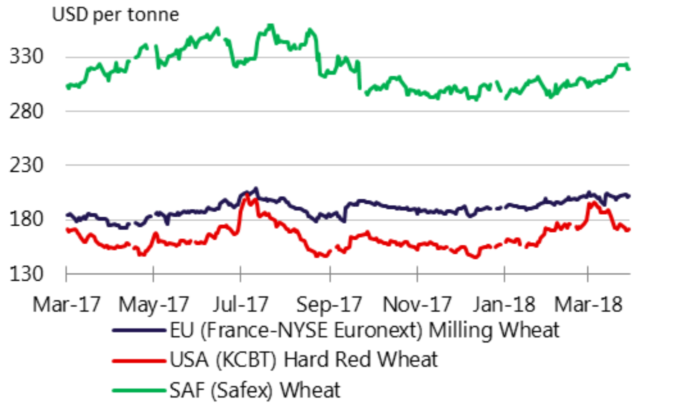
Managed money made extensive changes to its maize positioning m/m, mirroring the up and down price movements of the commodity. As prices attained multi-month highs mid-month, it added approximately 150 000 contracts (19 million tonnes) to its net long position, but liquidated about 100 000 (13.5 million tonnes) of those purchases during a market downtrend the week before the USDA Planting Intentions report. The report, which surprised analysts by projecting lower maize planted acres than expected for 2018, in turn triggered an upward buying spree. Conversely, managed money exhibited moderate active trading in wheat and soybeans, maintaining its net short positions in wheat and net long soybeans m/m. Commercials remained net shorts for all three commodities.

**As of this Market Monitor publication, China has announced that it plans to impose a 25 percent tariff on US origin soybeans (date so far undetermined), causing its price to tumble overnight as much as 5 percent – approximately USD 20 per tonne.*
For more information on technical terms please view the Glossary at the following link:
http://www.amis-outlook.org/fileadmin/user_upload/amis/docs/Market_monitor/Glossary.pdf

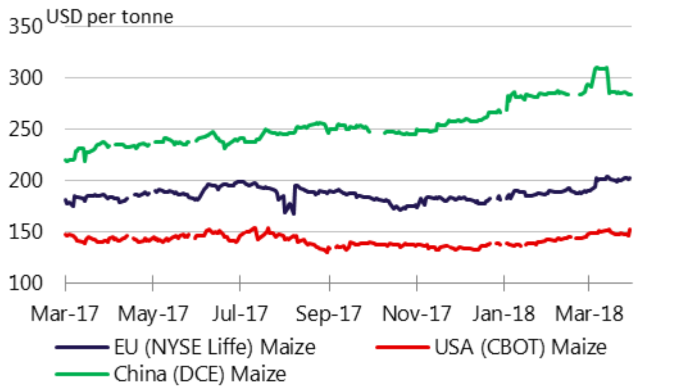
Market indicators

Daily quotations from leading exchanges - nearby futures

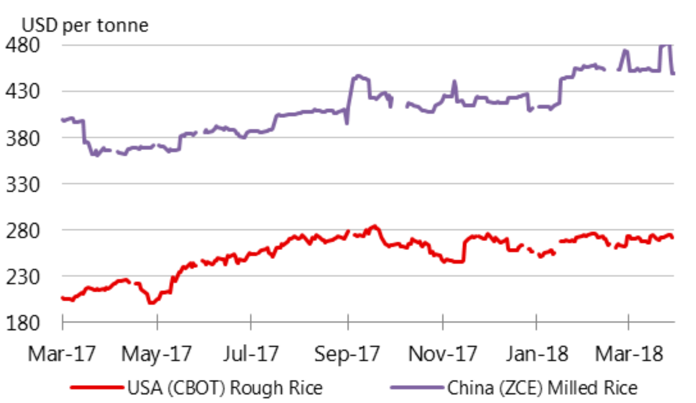
Wheat



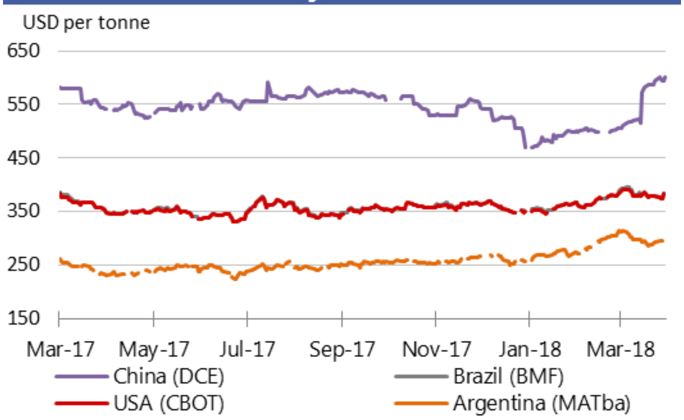
Maize



Rice

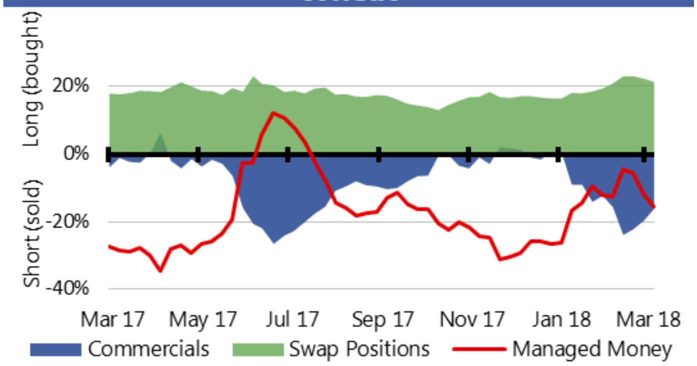


Soybeans

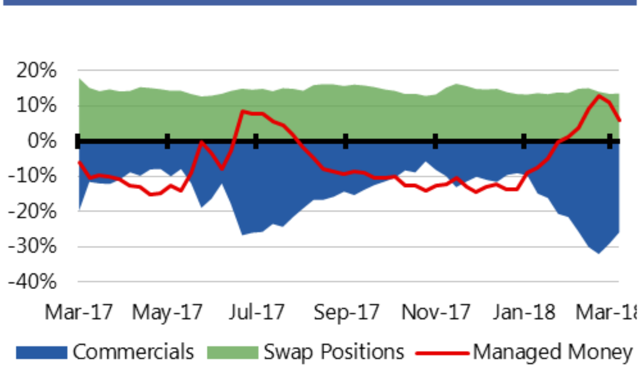


CFTC Commitments of Traders - Major Categories Net Length as percentage of Open Interest*

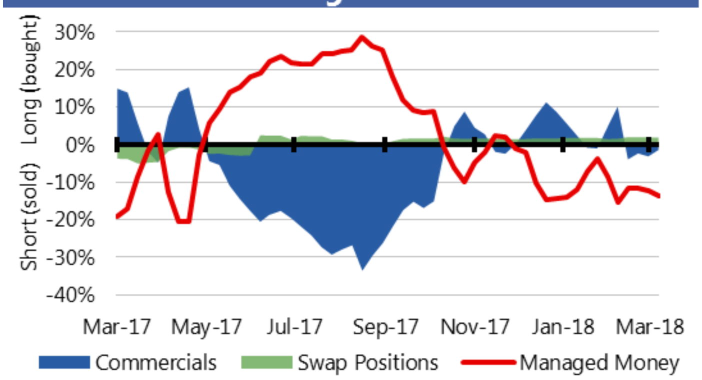
Wheat



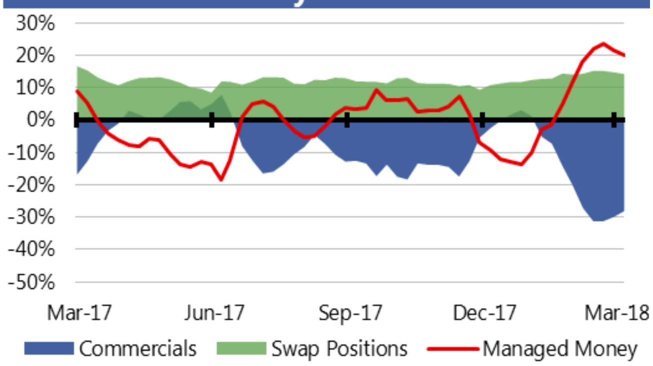
Maize



Rough Rice

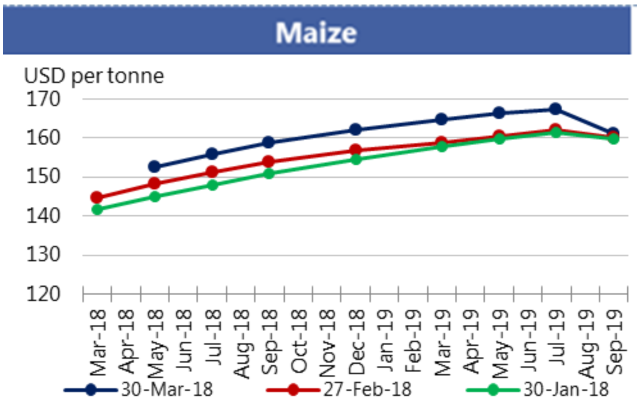


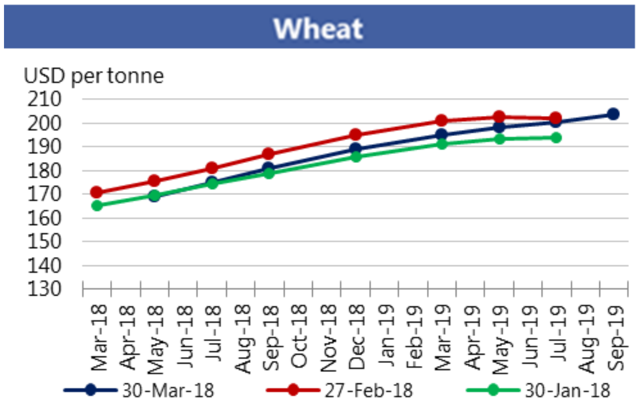
Soybeans

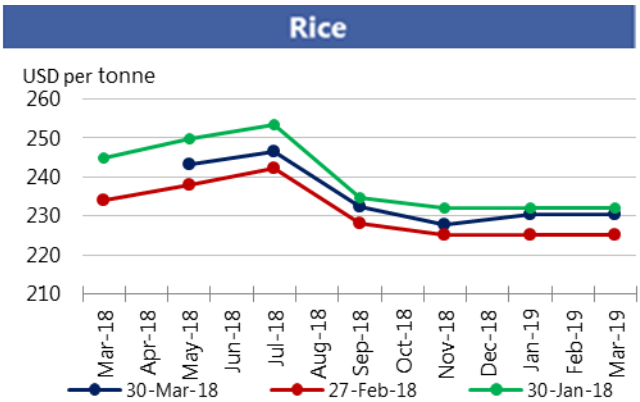


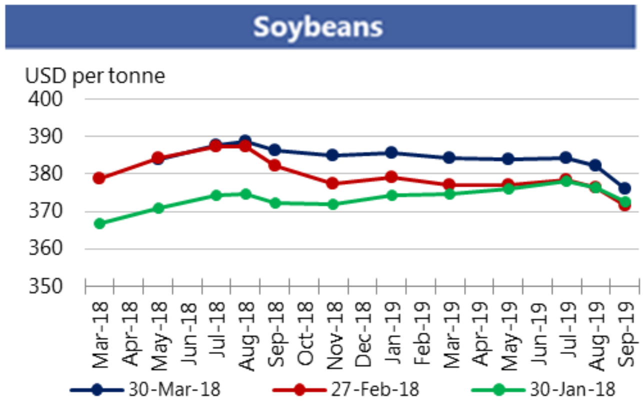
*Disaggregated Futures Only. Though not all positions are reflected in the charts, total long positions always equal total short positions.

Forward Curves

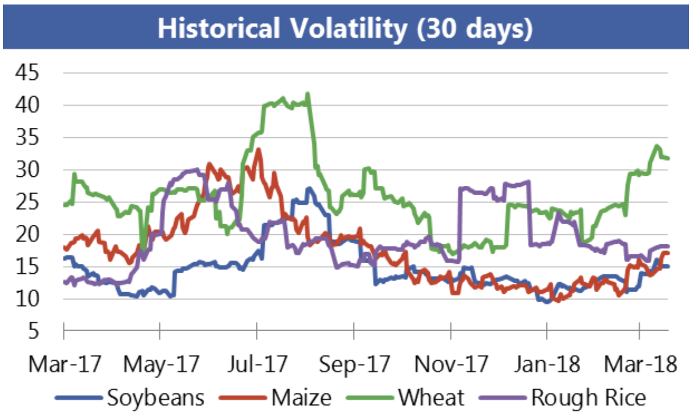


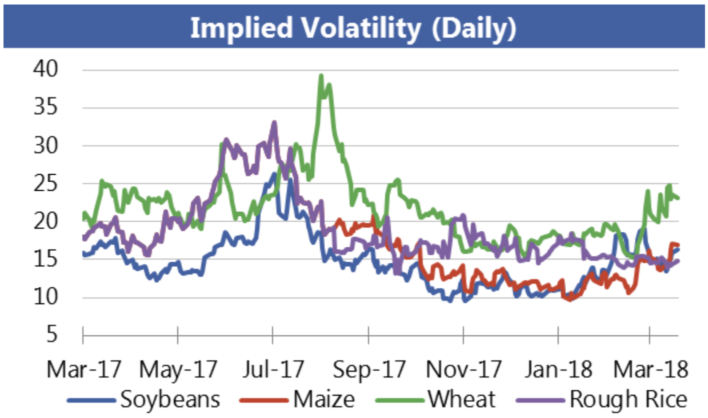






Historical and Implied Volatilities





AMIS Market indicators

Some of the indicators covered in this report are updated regularly on the AMIS website. These, as well as other market indicators, can be found at: http://www.amis-outlook.org/amis-monitoring/indicators/

Monthly US ethanol update

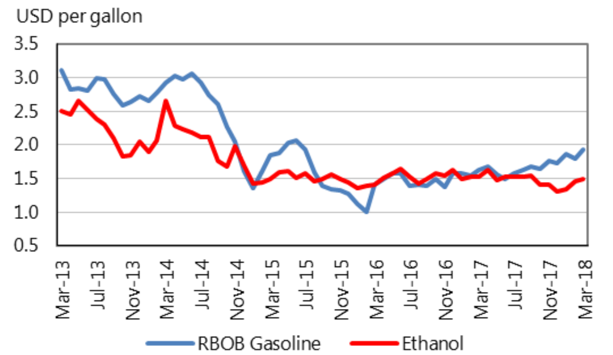
- **Maize prices** moved sharply higher in March as US maize exports were strong and concerns about the size of the Argentine crop supported prices. Prices also moved up sharply on 29 March with the release of US crops Planting Intentions which indicated farmers intend to plant less maize than was anticipated by the market.
- **Ethanol spot** and **futures prices** rose, but at a slower pace than RBOB gasoline futures, resulting in an ethanol to RBOB price ratio of under 78 percent, down from last month and significantly lower than last year.
- **DDGs prices** continued to sell at a premium to maize on a weight basis (119.5 percent in March), supporting ethanol processor returns.
- **Ethanol production margins** improved slightly in March as ethanol receipts increased more than maize costs, resulting in a modest growth in returns.
- The annualized **production pace** fell in March but remained above 16 billion gallons.

Spot prices IA, NE and IL/eastern *corn belt* average	**Mar 2018***	**Feb 2018**	**Mar 2017**
Maize price (USD per tonne)	141.30	135.61	133.71
DDGs (USD per tonne)	153.21	150.04	97.34
Ethanol price (USD per gallon)	1.41	1.35	1.41
Nearby futures prices CME, NYSE			
Ethanol (USD per gallon)	1.49	1.45	1.53
RBOB Gasoline (USD per gallon)	1.92	1.79	1.63
Ethanol/RBOB price ratio	77.6%	81.2%	94.0%
Ethanol margins IA, NE and IL/eastern *corn belt* Average (USD per gallon)			
Ethanol receipts	1.41	1.35	1.41
DDGs receipts	0.47	0.46	0.30
Maize costs	1.31	1.25	1.24
Other costs	0.55	0.55	0.55
Production margin	0.01	0.01	-0.07
Ethanol production (million gallons)			
Monthly production total	1 364	1 240	1 351
Annualized production pace	16 057	16 164	15 904

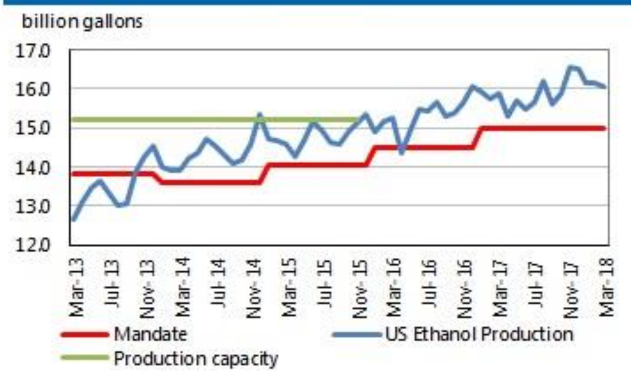
Based on USDA data and private sources
* Estimated using available weekly data to date.

Ethanol Production Margin
(IA, NE, IL/eastern corn belt average)

Ethanol and RBOB gasoline
(nearby futures prices, CME, NYSE)



Ethanol production pace, capacity and annual mandate



Ethanol price vs. maize price
(Spot prices)

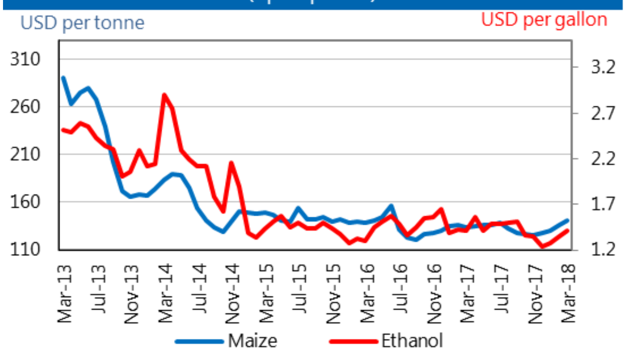


Chart and tables description

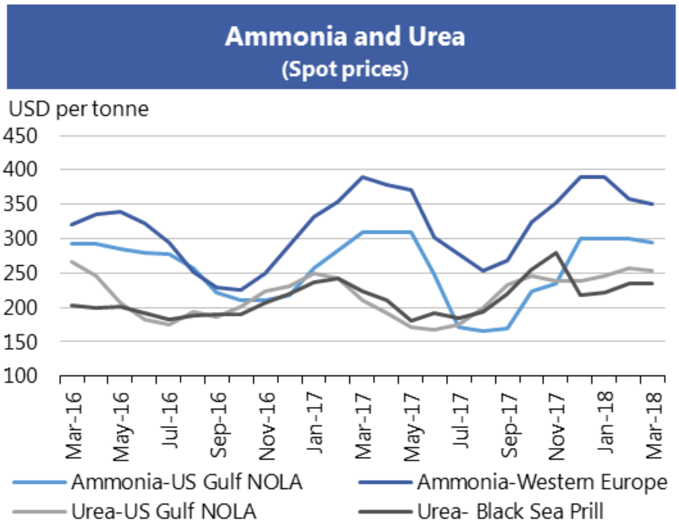
Ethanol Production Margins: The ethanol margin gives an indication of the profitability of maize-based ethanol production in the United States. It uses current market prices for maize, Dried Distillers Grains (DDGs) and ethanol, with an additional USD 0.55 per gallon of production costs

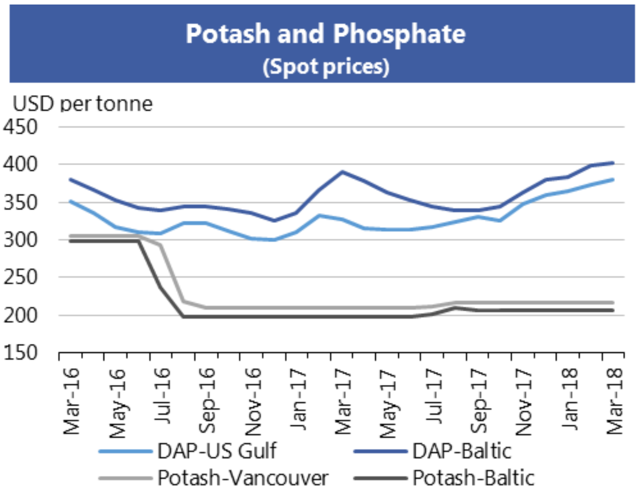
Ethanol Production Pace, Capacity and Mandate: Overview of the volume of maize-based ethanol production in the United States; it also highlights overall production capacity and the production volume that is mandated by public legislation. Name-plate (i.e. nominal) ethanol production capacity in the US is roughly 14.9 billion gallons per annum, but plants can exceed this level, so the actual capacity is assumed to be 15.2 billion gallons.

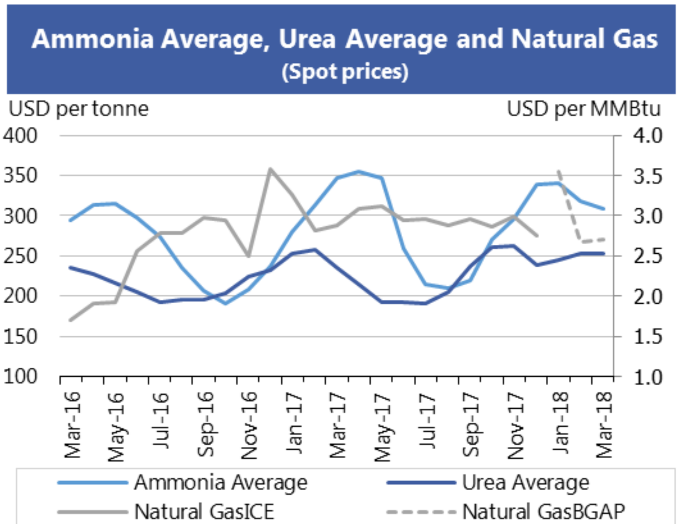
DDGs: By-product of maize-based biofuel production, commonly used as feedstuff.

RBOB: Reformulated Blendstock for Oxygenate Blending, gasoline nearby futures (NYSE).

Fertilizer outlook







- **Ammonia** prices dropped m/m following an increase in production in the US.
- **Urea** prices changed little, reflecting stable demand in Brazil and adequate world supplies.
- **DAP** prices increased slightly due to higher input costs of nitrogen-based components.
- **Potash** prices remained steady despite speculation about production shortfalls in the Caucasus, following a recent mining accident.
- **Natural gas** prices firmed as unusual cold spells increased demand for heating in several countries in the northern hemisphere.

Region	March average	March std. dev	% change last month*	% change last year*	12-month high	12-month low
Ammonia-US Gulf NOLA	294.3	11.5	-1.9%	-5.1%	310.0	165.0
Ammonia-Western Europe	350.0	-	-2.1%	-10.3%	390.0	254.0
Urea-US Gulf	253.0	5.1	-1.3%	20.0%	256.3	166.8
Urea-Black Sea	235.0	-	0.0%	5.4%	280.0	181.3
DAP-US Gulf	379.5	2.6	1.5%	16.0%	379.5	313.0
DAP-Baltic	402.5	2.9	0.9%	3.2%	403.0	339.0
Potash-Baltic	206.0	-	0.0%	4.0%	209.0	198.0
Potash-Vancouver	216.0	-	0.0%	3.3%	216.0	209.0
Ammonia	308.6	2.9	-3.2%	-11.1%	355.6	210.0
Urea	252.4	2.3	-0.3%	7.0%	263.3	192.0
Natural Gas*	2.7	0.1	1.3%	-7.5%	3.5	2.7

All prices shown are in US dollars.
*Natural Gas is a new Henry Hub Index (BGAP), replacing the one used before, which has been discontinued.
Source: Own elaboration based on Bloomberg

Chart and tables description

Ammonia and Urea: Overview of nitrogen-based fertilizer prices in the US Gulf, Western Europe and Black Sea. Prices are weekly prices averaged by month.
Potash and Phosphate: Overview of phosphate and potassium-based fertilizer prices in the US Gulf, Baltic and Vancouver. Prices are weekly prices averaged by month.
Ammonia Average and Urea Average: Monthly average prices from Ammonia's US Gulf NOLA, Middle East, Black Sea and Western Europe were averaged to obtain Ammonia Average prices; monthly average prices from Urea's US Gulf NOLA, US GUlf Prill, Middle East Prill, Black Sea Prill and Mediterranean were averaged to obtain Urea Average prices.
Natural Gas: Henry Hub Natural Gas Spot Price from ICE up to December 2017 and from Bloomberg (BGAP) from January 2018 onwards. Prices are intraday prices averaged by month. Natural gas is used as major input to produce nitrogen-based fertilizers.
DAP: Diammonium Phosphate.

Monthly ocean freight market update

Dry bulk freight market developments

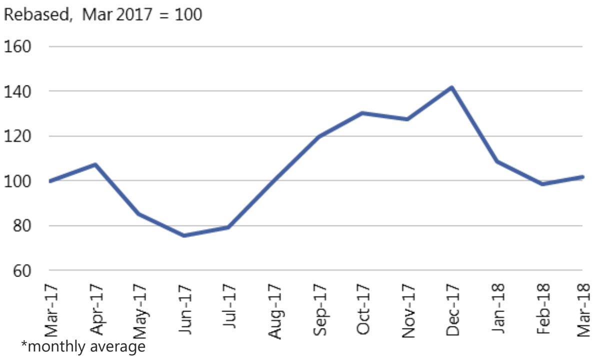
	Mar 2018 Average*	% Change M/M	% Change Y/Y
Baltic Dry Index (BDI) *	**1163**	**+3.7%**	**+ 1.9%**
sub-Indices:			
Capesize	1338	- 18.4%	- 35.1%
Panamax	1582	+ 18.1%	+ 32.9%
Supramax	1063	+ 23.4%	+ 21.6%
Baltic Handysize Index (BHSI)**	618	+ 16.4%	+ 22.8%

Source: Baltic Exchange.

Notes: *4 January 1985 = 1000 **23 May 2006 = 1000. Baltic Handysize sub-Index excluded from the BDI from 1 March 2018

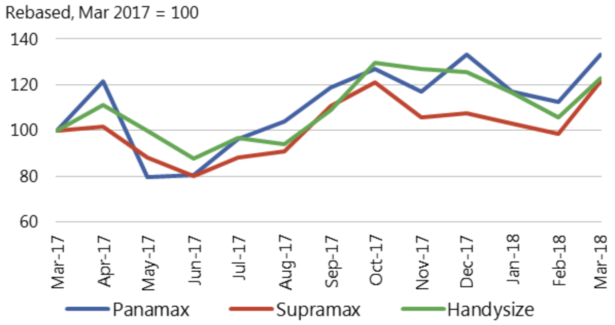
- Average **Baltic Dry Index (BDI)** values were slightly stronger in March, with advances in the grains and oilseeds carrying segments more than compensating for Capesize losses.
- The **Capesize** market softened, the average Baltic sub-Index down by 18 percent m/m. Demand for minerals, which offered support since the start of the year, was generally weaker in March, with excess tonnage evident in the Atlantic. Weaker rates were noted at key iron ore origins, including Brazil and Australia, albeit rates at the latter origin improved recently.
- Average **Panamax** quotations increased by 18 percent, largely on underpinning from brisk activity at the US Gulf and in South America, especially in early-March, for voyages to Asia. Fixing in the Pacific was also evident, with coal and mineral business out of Southeast Asia and Australia, coupled with strong grains-related demand in the north. Values eased more recently amid signs of increasing tonnage capacity in the Atlantic and weaker forward interest.
- **Supramax** and **Handysize** markets witnessed higher rates on major routes, with corresponding Baltic sub-Indices up considerably m/m. Buoyant demand for grains and oilseeds dispatches out of the Atlantic and the Black Sea area was supportive, together with strong scrap trades in Europe. Cement and clinker business was notable in the West Mediterranean, although challenging weather limited fertilizer buying in the Baltic.

Baltic Dry Index*

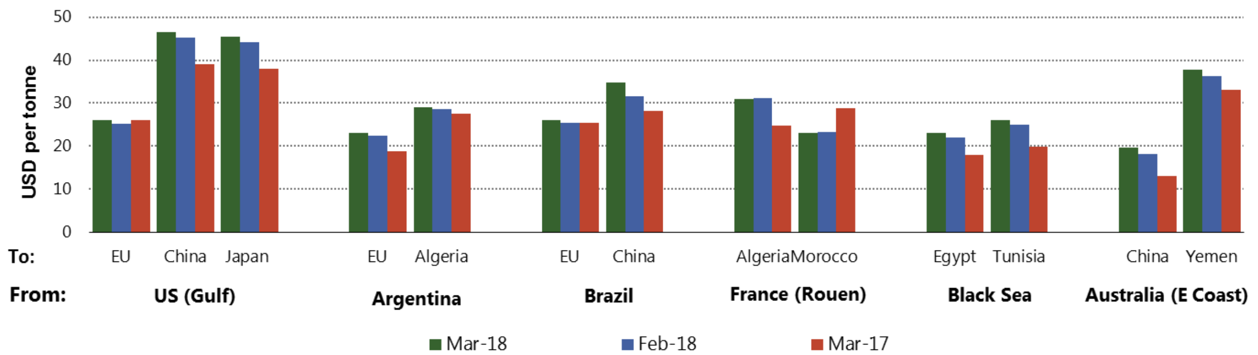


*monthly average

Grains and oilseeds carrying sectors: Panamax and Supramax sub-Indices and Handysize Index*



Average nominal freight rates on selected grains and oilseeds routes



Source: International Grains Council.

Notes:

Baltic Dry Index (BDI): A global benchmark indicator issued daily by the London-based Baltic Exchange, providing an assessment of the costs of moving major raw materials on ocean going vessels. The BDI is a composite measure, comprising sub-indices for four carrying segments, representing different vessel sizes: Capesize, Panamax, Supramax and Handysize.

Capesize: The largest vessels included in the BDI with deadweight tonnage (DWT) above 80 000 DWT, primarily transporting coal, iron ore and other heavy raw materials on long-haul routes.

Panamax: Vessels with capacity of 60 000 to 80 000 DWT, which are mostly geared to transporting coal, grains, oilseeds and other bulks, including sugar and cement.

Supramax/Handysize: Vessels with capacity below 60 000 DWT, which account for the majority of the world's ocean going vessels. They can transport a wide variety of cargos, including grains and oilseeds.

Explanatory Notes

The notions of **tightening** and **easing** used in the summary table of **"World Supply and Demand"** reflect judgmental views which take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts in this report are based on the latest data published by FAO, IGC and USDA; for the former, they also take into account information received from AMIS countries (hence the notion **"FAO-AMIS"**). World estimates and forecasts may vary due to several reasons. Apart from different release dates, the three main sources may apply different methodologies to construct the elements of the balances. Specifically:

Production: For wheat, production data refer to the first year of the marketing season shown (e.g. the 2016 production is allocated to the 2016/17 marketing season). For maize and rice, FAO-AMIS production data refer to the season corresponding to the first year shown, as for wheat. However, in the case of rice, 2016 production also includes secondary crops gathered in 2017. By contrast, for rice and maize, USDA and IGC aggregate production of the northern hemisphere of the first year (e.g. 2016) with production of the southern hemisphere of the second year (2017 production) in the corresponding 2016/17 global marketing season. For soybeans, this latter method is used by all three sources.

Supply: Defined as production plus opening stocks. No major differences across sources.

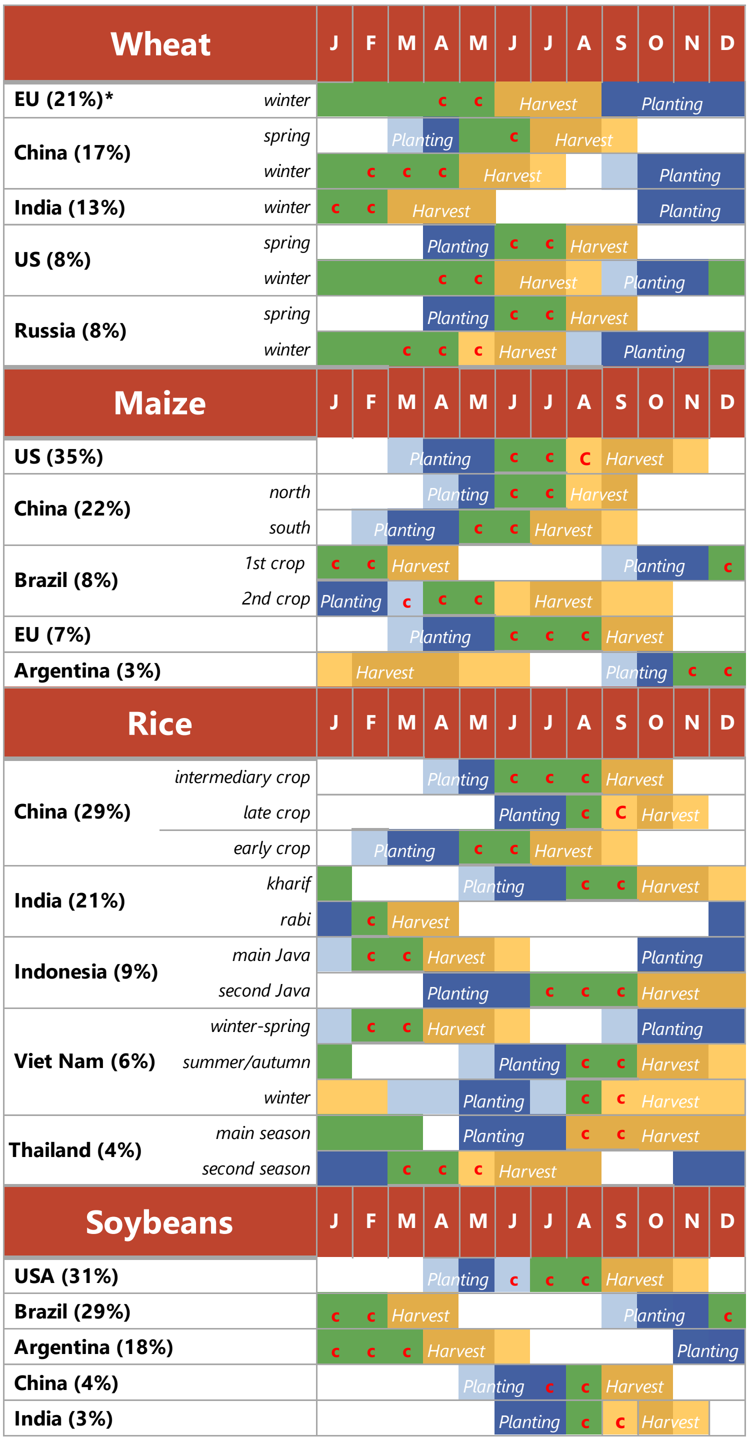
Utilization: For wheat, maize and rice, utilization includes food, feed and other uses ("other uses" comprise seeds, industrial utilization and post-harvest losses). For soybeans, it comprises crush, food and other uses. No major differences across sources.

Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June marketing year basis, except for the USDA maize trade estimates, which are reported on an October/September basis. FAO-AMIS and IGC wheat trade data includes wheat flour in wheat grain equivalent. USDA wheat trade data also includes wheat products. For rice, trade covers flows from January to December of the second year shown, and for soybeans from October to September. Trade between European Union member states is excluded.

Stocks: In general, stocks refer to the sum of carry-overs at the close of each country's national marketing year. In the case of maize and rice, in southern hemisphere countries the definition of the national marketing year is not the same across the three sources as it depends on the methodology chosen to allocate production. For Soybeans, the USDA world stock level is based on an aggregate of stock levels as of 31 August for all countries, coinciding with the end of the US marketing season. By contrast, the IGC and FAO-AMIS measure of world stocks is the sum of carry-overs at the close of each country's national marketing year.

AMIS - GEOGLAM Crop Calendar

Selected leading poducers



** Percentages refer to the global share of production (average 2013-15).*

Planting (peak) | Harvest (peak)

Planting | Harvest

C Weather conditions in this period are critical for yields. | Growing period

Main sources
Bloomberg, CFTC, CME Group, FAO, GEOGLAM, IFPRI, IGC, Reuters, USDA, US Federal Reserve

2018 AMIS Market Monitor Release Dates
February 1, March 1, April 5, May 3, June 7, July 5, September 6, October 4, November 1, December 6